The COVID-19 pandemic marked a dramatic turning point in Hollywood's economic and technological landscape, rapidly intensifying trends that had been developing for decades. Economic researchers Thorsten Hennig-Thurau, S. Abraham Ravid, and Olav Sorenson, writing in the Journal of Cultural Economics, explain that "COVID-19, if anything, has accelerated this transformation. When the pandemic kept people home, streaming services came to the rescue, providing audiences with filmed entertainment on their televisions, computers, tablets, and other digital devices."[1] From their perspective as economists studying the film industry, digitalization is portrayed as a monumental shift, comparable in scale to past technological leaps such as sound and color, but ultimately part of the film industry's long history of adapting to innovation. They suggest that although traditional business models are destabilized, these changes present new strategic opportunities, urging readers to "embrace these opportunities, find ways to overcome the research challenges of the 'new' digitalized industry, and continue the quest to shed light on and guide the industry's future paths."[1] They frame the disruption of long established practices in the film industry in a positive light for businesses and shareholders implying that the industry is resilient and capable of evolving when coupled with technological advancements.

In contrast, Paris Marx, a tech-industry researcher, adopts a far more critical stance toward these developments through the lens of a consumer and writer. Writing in his newsletter *Disconnect*, Marx argues that the digital shift has resulted in the merging of widespread industry corporations while undermining the quality of life of writers. He observes that "what's happened here is twofold: Companies are merging, which gives them even greater leverage against workers, but also any smaller companies that depend on them for business, like cinemas. Plus, they're developing and rolling out new technologies that restructure the conditions of the industry to further enhance their power."[2] Unlike the economists' somewhat optimistic view of digitalization as a field of new business possibilities, Marx emphasizes how streaming platforms and major conglomerates have weaponized technological change to reduce costs, minimize residual payments, and potentially replace human workers altogether with artificial intelligence. "After this decades-long process of digitization, consolidation, and centralizing power on the part of major entertainment conglomerates, they're wielding it to further transform the face of the industry and what it means to work in it,"[2] Marx warns, specifically citing the recent Writers Guild strikes as a response to these threats. While Hennig-Thurau et al. acknowledge that digitalization disrupts old patterns, Marx underscores how this disruption translates into job losses, precarious working conditions, and declining power for creative laborers.

1. Hennig-Thurau, Thorsten, S. Abraham Ravid, and Olav Sorenson. "The Economics of Filmed Entertainment in the Digital Era." *Journal of Cultural Economics* 45, no. 1 (2021): 157–170. https://link.springer.com/article/10.1007/s10824-021-09407-6

2. Marx, Paris. "How Hollywood Studios Used the Digital Transition to Crush Workers." *Disconnect (Blog),* May 4, 2023. https://www.disconnect.blog/p/how-

hollywood-studios-used-the-digital.